

related and gave respite to industry and taxpayers by improving the ease of doing business and providing certainty on tax rates.

Some of these decisions include extending the due date for input tax credit, setting monetary limits to file appeals under the GST Appellate Tribunal, reducing the quantum of pre-deposit for filing appeals, and rolling out the biometric-based Aadhaar authentication of registration applicants on a pan-India basis in a phased manner. It also approved a sunset date of April 1, 2025, for anti-profiteering matters—cases can only be filed under this provision up to that date. The Council also decided to provide a new optional facility

terms it a very positive and fruitful meeting. “In the first GST Council meeting after the formation of the new government at the Centre, several important and trade-friendly measures have been taken, with key themes being ‘ease of doing business’ and bringing certainty to the tax regime,” he says.

However, the Council did not take up the expected review of the 28% tax on online gaming, horse racing, and casinos that was eagerly awaited by players in the sector. Sitharaman said it was neither on the agenda of the meeting nor was it taken up for discussion.

She also said that the long-awaited reform on rate rationalisation will

ture—with five broad slabs of zero, 5%, 12%, 18%, and 28%, as well as a cess—into three slabs. The GoM had submitted an interim report in June 2022 recommending changes in rates for some goods and services.

Jain of PwC says the stress on rate rationalisation and discussions around the GoM have given industry renewed hope that the GST rate structure would be simplified in 12 to 18 months.

Abhishek A. Rastogi, Founder of legal services firm Rastogi Chambers, says, “While comprehensive rate rationalisation to reduce the number of slabs may still take some time, the GST Council has pragmatically addressed some of the

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1 At the meeting, the GST Council recommended monetary limits for appeals filed by the tax department

2 The amount of pre-deposit for filing appeal with the appellate tribunal has also been reduced for SGST and CGST

3 It has approved the roll-out of Aadhaar authentication of registration applicants on a pan-India basis in a phased manner

4 It approved a sunset date of April 1, 2025, for anti-profiteering matters. Cases can only be filed under this provision up to that date

for form GSTR-1A to help amend details in form GSTR-1 that deals with monthly or quarterly returns.

The Council also provided clarity on tax rates on several items, including the exemption on hostel accommodation outside educational institutions up to ₹20,000 per month and specified services offered by the Railways to the public, such as the sale of platform tickets, the facility of retiring rooms, and cloakrooms. Its clarifications around co-insurance and reinsurance, stating that no tax will be levied on these, will also provide relief to industry.

Pratik Jain, Partner at professional services firm PwC India,

now be taken up in the next meeting of the Council, which is likely to be held in the middle of August.

Addressing reporters after the meeting, Sitharaman said the GST Council has decided that in its next meeting, the new chairperson of the Group of Ministers (GoM) on rate rationalisation will give a report on the status of the exercise and what more has to be done. Bihar Deputy Chief Minister Samrat Choudhary is the new Chair of the GoM.

The GoM was set up way back in September 2021. There have been expectations since that it would submit its report soon and help simplify the current GST rate struc-

ture with an objective to provide tax certainty and curb inflation to an extent.”

At the press conference, Sitharaman explained that the decision to include diesel and petrol in the indirect tax levy rests with the states, although the proviso for this already exists in the GST Act.

One other issue is that of the compensation cess, instituted to compensate states for revenue losses after GST’s introduction. Sources indicate that this will be discussed at the next meeting. In its last meeting, the Council decided to discuss the modalities for appropriating the revenue collected by